

Fujitsu (6702.T): IR Day: CPU/AI server an earnings upside factor, IT services shift to value-based pricing

Fujitsu held its annual IR Day from 10:00 JST on September 16. The main topics of discussion included CPUs/AI servers, the pricing model for IT services, Uvance, and modernization. We found the presentations very informative, including quantitative aspects (see [Exhibit 1](#) for numbers). **Overall, (1) business opportunities appear abundant and could act as an upside factor to our estimates and consensus, considering the outlook and potential for market expansion for the newly announced in-house CPU and AI server; (2) high growth in the domestic IT services market is expected to continue, centered on offering services/modernization, and Fujitsu plans to gradually shift to a value-based pricing model in anticipation of the widespread adoption of AI; and (3) even taking into account factors such as increased AI token costs, AI-driven development is steadily contributing to margin improvement, and going forward the company will utilize multiple AI agents, in our view increasing the likelihood that margins will continue to improve.** We believe the effects of (1) should become apparent from FY3/28, while (2) and (3) are already under way. While we need to be mindful of upfront investments in areas like CPUs/quantum computers and the impact of elevated memory prices in FY3/27, we believe there is substantial potential for earnings upside from FY3/28, driven by the company's unique growth story centered on (1). We maintain our Buy rating.

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- **MONAKA:** FUJITSU-MONAKA is an in-house designed, domestically produced CPU (ARM architecture) applying a 2nm process node/3D chiplets. Fujitsu plans to begin global shipments in the Jan-Mar 2027 quarter (manufactured by TSMC in Taiwan) and targets sales of ¥35 bn in FY3/28, cumulative sales of ¥250 bn from FY3/28 to FY3/31, and sales of ¥500 bn in FY3/36. In addition, the FUJITSU MONAKA Server equipped with this CPU is scheduled to begin shipping from April 2027 (mainly in the Japanese and European markets), with cumulative sales volume targeted at 60,000 units over FY3/28-31. Regarding the MONAKA CPU, the application of a unique microarchitecture and ultra-low voltage technology achieves high throughput and power efficiency in AI inference compared to competitors, and we believe it has strong product competitiveness in small to medium-scale AI inference. As for the MONAKA Server, sovereign AI needs are growing among government agencies and the defense sector, and we expect demand to expand for applications with a strong requirement for CPU-centric processing of confidential internal information, such as manufacturing (including physical AI), finance, and telecommunications. Considering the profitability of

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each product, we see potential for profit contributions in the high single-digit billions of yen from the initial year in FY3/28, and in the low to mid-tens of billions of yen in the final year of FY3/31.

- **IT services (Service Solutions):** Japan's IT services market is projected to grow at an annual rate of 6.7% (2024-2029 CAGR; source: IDC), supported primarily by growing modernization demand. Fujitsu said it is expanding at a pace exceeding market growth, mainly in the manufacturing, distribution, finance, public, and defense sectors, and the company expects moderate market share gains to continue. Currently, its strategy to strengthen consulting is bearing fruit, with an increase in project wins led by consulting (¥20 bn in FY3/25 to ¥30 bn in FY3/26). With consulting-led business negotiations expected to continue increasing across the industry, the company targets order wins of ¥60 bn in FY3/27 rising to ¥650 bn in FY3/31. We note concerns in the equity market that productivity improvements accompanying the spread of AI could push down project unit prices, which are determined on a man-month basis (linked to the number of engineers/hours worked). Fujitsu is addressing this issue ahead of industry peers and plans to accelerate its shift to a value-based pricing model going forward. Specifically, the company intends to raise its value pricing ratio from 20% to 60% to 80% (FY3/26 to FY3/31 to FY3/36), focusing on outcome-based pricing linked to the value provided by the system (such as the effect of improving customer productivity) and usage-based pricing linked to the amount of software asset code or the volume of business data of AI agents. We believe this is achievable for Fujitsu, given its industry-leading position and price negotiation power.
- **Uvance/modernization/AI-driven development:** Bolstered by the strengthening of solutions, Uvance sales continue to deliver strong growth, with Fujitsu targeting growth of over 20% annually going forward (progress in 1Q3/27 beat guidance). The company sees sovereign cloud and cybersecurity as likely new growth drivers. In addition, modernization, where demand is on an expansionary trend, is projected to see market expansion at an annual rate of 10.2% (2026-2030 CAGR, source: IDC). However, the company expects to continue seeing a moderate increase in its share (CAGR of +11.5%) by also replacing competitors' legacy systems. Regarding profitability, Fujitsu said AI-driven development initiatives are progressing, centering on modernization. As of FY3/26, the company had already rolled out AI-utilized development to all projects except for a few customers. In FY3/27, it plans to execute projects centering on generative AI prompt interactive development (LV 1: c.78% of revenue). The company plans to increase the ratio of AI agent utilization (LV 2) and multi-AI agent utilization in multiple processes (LV 3) (FY3/31: LV1/LV2/LV3 ratios of 20%/50%/30%), with the ultimate goal of achieving 100% LV 3. We see Fujitsu's AI-driven development initiatives as ahead of its competitors, and think it likely that profitability improvement exceeding the industry average will continue, including the shift in pricing model mentioned above.

Exhibit 1: Sales outlook by product and various KPIs**Mid term management projection (mn yen)****Hardware segment**

	FY3/31	FY3/36
AI Platform 「Fujitsu Kozuchi」 Revenue	500,000	1,500,000
Physical AI revenue	150,000	750,000
Quantum computer revenue	50,000	300,000
Network (NIC + AI-native RAN) revenue	120,000	300,000
	FY3/27	FY3/36
Fujitsu-MONAKA / MONAKA-X revenue	35,000	500,000
	FY3/28~FY3/31 cumulative	
Fujitsu-MONAKA / MONAKA-X revenue	250,000	
Japan	130,000	
Overseas	120,000	
Fujitsu MONAKA Server shipment volume	60,000	
	FY3/28	FY3/30
Fujitsu-MONAKA / MONAKA-X Process Node	2nm (MONAKA)	1.4nm (MONAKA-X)

IT Services (Service Solutions segment)

Japan IT Market Growth Rate FY24-29 CAGR	6.7%	
AI Services Market Growth Rate FY26-30 CAGR	25%	
	FY3/26	FY3/31E
Uvance revenue ratio	30%	50%+
Uvance revenue growth FY25-30 CAGR	50%+	
Uvance recurring revenue ratio	38%	70%+
Gross margin of Uvance recurring business	39%	55%+
Modernization market share	24%	30%+
Modernization revenue growth FY25-30 CAGR	11.5%	
Gross margin of Modernization business	40%	50%+
Consulting-led deals	30,000	650,000
Value pricing ratio	20%	80%
	FY3/27E	FY3/31E
AI adoption Level (AI driven software development)		
Level 2	20%	50%
Level 3	2%	30%

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: We expect FY3/27 operating profits to miss guidance mainly in service solutions/hardware solutions, but we look for high yoy growth to continue centered on service solutions

Fujitsu: Earnings by business

(in million yen) 6702 Fujitsu	25/3	26/3	GSE 27/3	GSE 28/3	GSE 29/3	CoE 27/3	26/3 Q1	Q2	Q3	Q4	27/3 Q1	GSE Q2E
<P/L>												
Sales	3,550,116	3,502,971	3,562,000	3,760,000	3,957,000	3,510,000	749,859	816,683	884,642	1,051,787	779,377	836,000
y-y	2.1%	-1.3%	1.7%	5.6%	5.2%	0.2%	-1.2%	3.0%	3.4%	-7.9%	3.9%	2.4%
Operating profits	265,089	348,329	411,000	486,000	563,000	415,000	33,486	71,859	105,656	137,328	52,534	82,000
y-y	77.5%	31.4%	18.0%	18.2%	15.8%	19.1%	2.3x	2.5x	68.1%	-13.7%	56.9%	14.1%
% of sales	7.5%	9.9%	11.5%	12.9%	14.2%	11.8%	4.5%	8.8%	11.9%	13.1%	6.7%	9.8%
Adjusted items (restructuring costs etc)	-42,176	-42,260	-10,000	-10,000	-10,000	-10,000	-1,633	-14,349	-2,180	-24,098	-2,377	-2,500
Adjusted Operating profits	307,265	390,589	421,000	496,000	573,000	425,000	35,119	86,208	107,836	161,426	54,911	84,500
y-y	15.8%	27.1%	7.8%	17.8%	15.5%	8.8%	2.1x	74.1%	51.8%	-5.1%	56.4%	-2.0%
% of sales	8.7%	11.2%	11.8%	13.2%	14.5%	12.1%	4.7%	10.6%	12.2%	15.3%	7.0%	10.1%
Sales and earnings by segment												
I Service Solution												
Sales	2,245,996	2,346,932	2,480,000	2,640,000	2,800,000	2,470,000	514,617	551,889	591,221	689,205	548,971	587,000
y-y	5.1%	4.5%	5.7%	6.5%	6.1%	5.2%	2.6%	7.0%	8.4%	0.9%	6.7%	6.4%
% of sales	63.3%	67.0%	69.6%	70.2%	70.8%	70.4%	68.6%	67.6%	66.8%	65.5%	70.4%	70.2%
(1) Enterprise	829,000	866,300	930,000	991,000	1,053,000	940,000	197,600	212,500	216,400	239,700	213,000	230,000
y-y	-	4.5%	7.4%	6.6%	6.3%	8.5%	-	-	-	-	7.8%	8.2%
(2) Public	1,416,900	1,480,600	1,550,000	1,649,000	1,747,000	1,530,000	317,000	339,300	374,800	449,400	335,900	357,000
y-y	-	40.6%	16.6%	16.1%	16.1%	21.5%	-	-	-	-	12.2%	17.6%
Adjusted Operating profits	289,967	361,464	427,000	497,000	569,000	430,000	47,842	71,780	96,478	145,364	62,801	87,000
y-y	22.2%	24.7%	18.1%	16.4%	14.5%	19.0%	36.8%	33.5%	32.5%	13.2%	31.3%	21.2%
% of sales	12.9%	15.4%	17.4%	18.8%	20.3%	17.4%	9.3%	13.0%	16.3%	21.1%	11.4%	14.8%
(1) Enterprise	72,000	101,200	118,000	137,000	159,000	123,000	17,200	23,800	29,200	30,800	19,300	28,000
y-y	-	40.6%	16.6%	16.1%	16.1%	21.5%	-	-	-	-	12.2%	17.6%
% of sales	8.7%	11.7%	12.7%	13.8%	15.1%	13.1%	8.7%	11.2%	13.5%	12.8%	9.1%	12.2%
(2) Public	217,900	260,100	309,000	360,000	410,000	307,000	30,500	47,900	67,100	114,500	43,400	59,000
y-y	-	19.4%	18.8%	16.5%	13.9%	18.0%	-	-	-	-	42.3%	23.2%
% of sales	15.4%	17.6%	19.9%	21.8%	23.5%	20.1%	9.6%	14.1%	17.9%	25.5%	12.9%	16.5%
II Hardware Solution												
Sales	1,119,938	1,009,857	997,000	1,035,000	1,072,000	960,000	202,115	222,698	248,124	336,920	211,204	228,000
y-y	1.1%	-9.8%	-1.3%	3.8%	3.6%	-4.9%	-11.6%	-2.4%	-3.2%	-17.2%	4.5%	2.4%
% of sales	31.5%	28.8%	28.0%	27.5%	27.1%	27.4%	27.0%	27.3%	28.0%	32.0%	27.1%	27.3%
(1) System Products	938,300	816,200	780,000	810,000	840,000	750,000	167,100	179,400	195,900	273,800	175,000	180,000
y-y	1.4%	-13.0%	-4.4%	3.8%	3.7%	-8.1%	-14.2%	-4.8%	-6.7%	-20.7%	4.7%	0.3%
(2) Network Products	181,600	193,600	217,000	225,000	232,000	210,000	34,900	43,200	52,200	63,300	36,100	48,000
y-y	-0.8%	6.6%	12.1%	3.7%	3.1%	8.5%	3.9%	9.1%	13.2%	1.6%	3.4%	11.1%
Adjusted Operating profits	61,300	67,012	61,000	71,000	81,000	62,000	1,337	11,188	24,559	29,928	-3,743	10,000
y-y	-26.8%	9.3%	-9.0%	16.4%	14.1%	-7.5%	N.M.	64.4%	122.0%	-36.5%	N.M.	-10.6%
% of sales	5.5%	6.6%	6.1%	6.9%	7.6%	6.5%	0.7%	5.0%	9.9%	8.9%	-1.8%	4.4%
III Ubiquitous Solution												
Sales	251,746	229,805	175,000	175,000	175,000	160,000	47,987	65,202	64,733	51,883	34,495	46,000
y-y	-7.9%	-8.7%	-23.8%	0.0%	0.0%	-30.4%	-1.6%	8.8%	-11.0%	-26.2%	-28.1%	-29.5%
% of sales	7.1%	6.6%	4.9%	4.7%	4.4%	4.6%	6.4%	8.0%	7.3%	4.9%	4.4%	5.5%
Adjusted Operating profits	31,372	38,825	28,000	28,000	28,000	28,000	8,241	13,503	9,737	7,344	4,466	9,500
y-y	29.6%	23.8%	-27.9%	0.0%	0.0%	-27.9%	84.3%	95.7%	8.3%	-33.3%	-45.8%	-29.6%
% of sales	12.5%	16.9%	16.0%	16.0%	16.0%	17.5%	17.2%	20.7%	15.0%	14.2%	12.9%	20.7%
Inter-segment elimination/Corporate												
Sales	-67,564	-83,623	-90,000	-90,000	-90,000	-80,000	-14,860	-23,106	-19,436	-26,221	-15,293	-25,000
Adjusted Operating profits	-75,374	-76,712	-95,000	-100,000	-105,000	-95,000	-22,301	-10,263	-22,938	-21,210	-8,613	-22,000

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis, Price Target Risks and Methodology - Fujitsu

Investment Thesis - Fujitsu

Fujitsu (Buy) is the leading systems integrator in Japan and engages in a wide range of fields including IT services, communications systems, and electronic components. It is stepping up the concentration of resources on key businesses as well as pursuing structural reforms centered on non-core ubiquitous solutions and device solutions and plans to sell non-core businesses over the medium term. Fujitsu's strengths are its technological prowess and know-how in large system development/integration, system products, and base stations. We forecast considerable improvement in profitability as the company optimizes human resources, utilizes offshore resources, sells off non-core businesses, sees operating leverage kick in as demand grows in the UVANCE unit (solutions business), and makes wider use of generative AI in system development. We expect profit growth to outstrip the sector average in the medium term. We see scope for P/E to increase and think valuations look compelling.

Price Target Risks and Methodology - Fujitsu

Our 12-month target price of ¥4,590 is based on our FY3/28 EPS estimate of ¥209 and a target P/E of 22X. Our target P/E is derived from (1) a P/E of c.21–22X for the IT services business (20% premium to the sector-average P/E of 19.0X), and (2) a P/E of 21.0X for the hardware business (average for the hardware sector). We then take a weighted average of these two multiples, based on the company's profit weightings, with an 80% weighting for IT services and a 20% weighting for hardware. The reasons we apply a premium to the sector average P/E are (1) a medium-term profit growth rate that significantly exceeds the sector average, (2) an aggressive shareholder return policy, (3) the company's favorable positioning to benefit from generative AI, including in generative AI-powered system development and AI solutions, and (4) growth stories not seen at other SIs, such as the company's defense business. Key risks include deterioration in IT services/hardware demand due to worsening business sentiment, higher-than-expected component cost increases, delays in price pass-through, opportunity losses due to procurement delays, and the emergence of unprofitable projects.

6702.T	12m Price Target: ¥4,590	Price: ¥3,922	Upside: 17.0%
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Buy		GS Forecast				
		3/26	3/27E	3/28E	3/29E	
Market cap: ¥6.6tr / \$42.8bn		Revenue (¥ bn)	3,503.0	3,562.0	3,760.0	3,957.0
Enterprise value: ¥6.3tr / \$40.9bn		Op. profit (¥ bn)	348.3	411.0	486.0	563.0
3m ADTV: ¥26.6bn / \$166.4mn		Op. profit CoE (¥ bn)	–	415.0	–	–
Japan		EPS (¥)	254.8	173.6	208.6	246.2
Japan IT Services & Telcos		P/E (X)	14.3	22.6	18.8	15.9
M&A Rank: 3		P/B (X)	3.1	3.2	3.0	2.7
Leases incl. in net debt & EV?:		Dividend yield (%)	1.4	1.4	1.7	1.9
Yes		N debt/EBITDA (ex lease,X)	(0.6)	(0.6)	(0.6)	(0.6)
		CROCI (%)	24.3	32.4	36.3	39.2
		6/26	9/26E	12/26E	3/27E	
		EPS (¥)	23.1	34.2	47.0	69.3

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 16 Sep 2026 close.

Disclosure Appendix

Reg AC

We, Chikai Tanaka, CFA and Yuki Sato, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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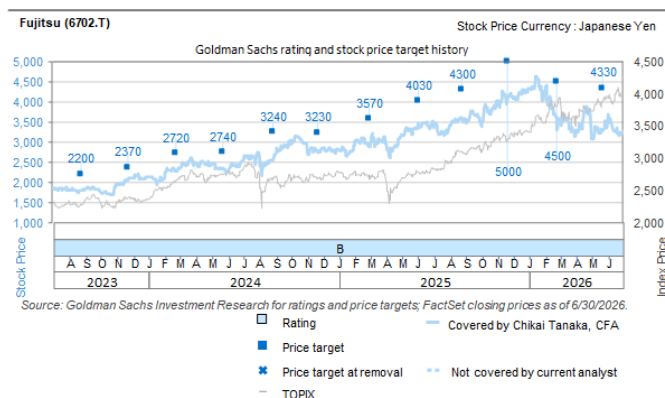
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Target price history table(s)

Fujitsu (6702.T)

Date of report Target price (¥) Closing price (¥)

09-Sep-26	4,590	3,745
21-Aug-26	4,380	3,646
22-May-26	4,330	3,307
24-Feb-26	4,500	3,313
21-Nov-25	5,000	4,129
25-Aug-25	4,300	3,571
02-Jun-25	4,030	3,461
28-Feb-25	3,570	2,879
22-Nov-24	3,230	2,757
28-Aug-24	3,240	2,590
22-May-24	2,740	2,322
22-Feb-24	27,200	2,271
22-Nov-23	23,700	2,058

Price targets shown in table(s) are unadjusted for corporate actions.

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